

Executive Summary

AdventureWorks | 2001–2004

2001	2002	2003	2004
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\$109,85M

Total Revenue

\$9,37M

Total Profit

8,53 %

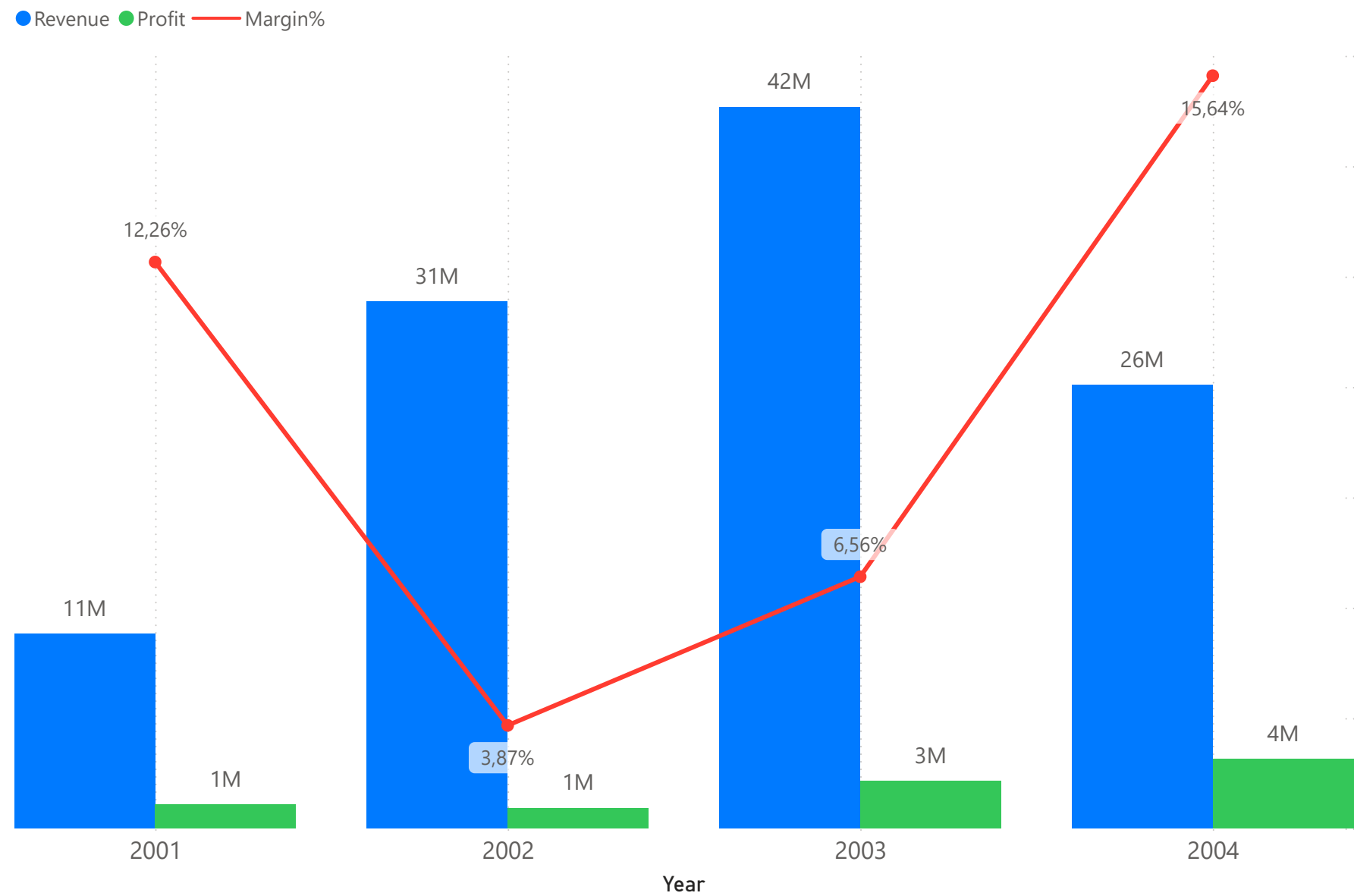
Margin %

-\$4,00M

Operating Profit

-3,64 %

Operating Margin %



Operating Profit -\$4 M

Total Profit \$9.4M "eaten" by taxes and high cost delivery.

Recomendations:

- Overview tax sctructure
- Optimize logistics
- Develop online sales channel

Product & Margin (growth points)

AdventureWorks | 2001–2004

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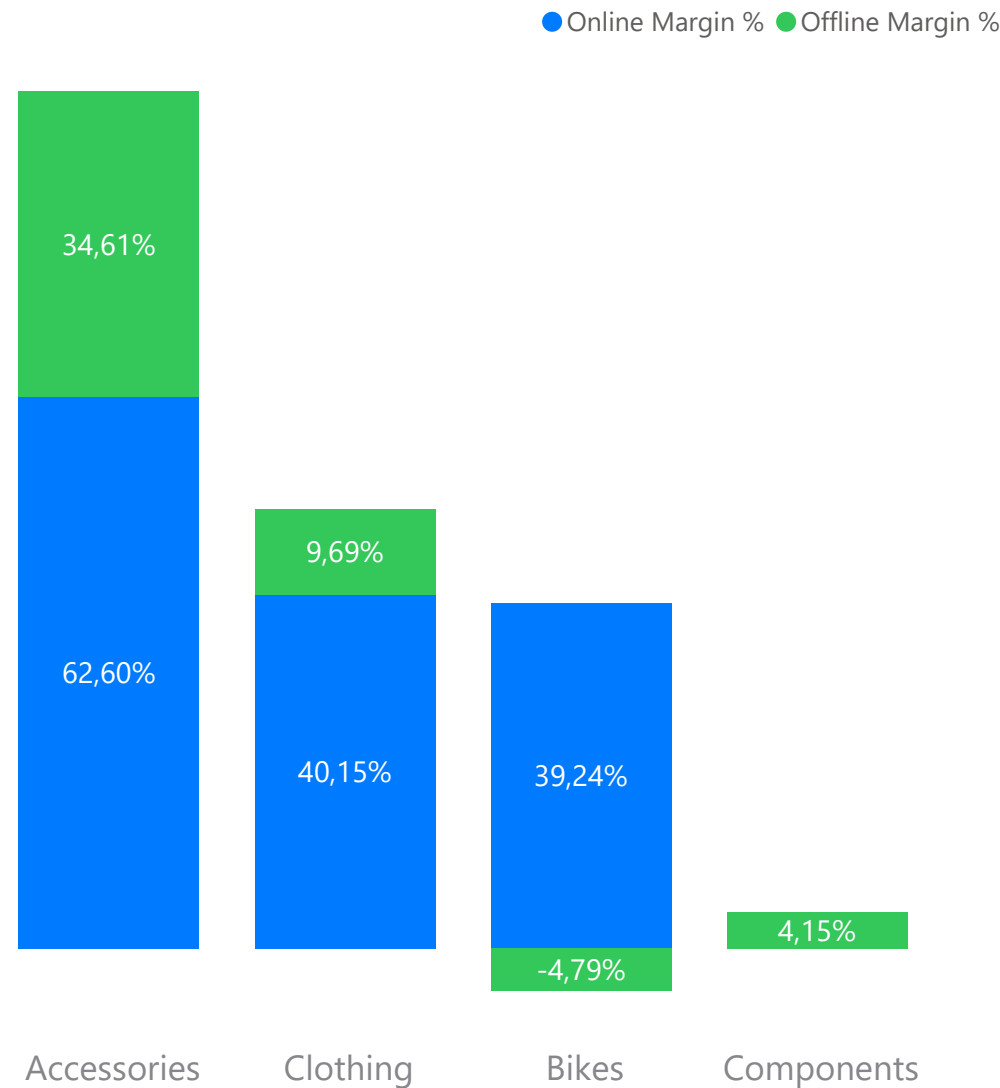
\$80,49M Offline Revenue	-2,88 % Offline Margin %	\$29,36M Online Revenue	39,81 % Online Margin %
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Insights: 20 products with negative margin: total loss \$1.3M

- ▶ Road-650 Black, 52: –\$61.9K | Long-Sleeve Logo Jersey, L: –27.7%
- ▶ Clothing: all units unprofitable — pricing audit needed

Accessories	Bikes	Clothing	Components
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Product	Category	Total Revenue	Total Profit	Margin %
Long-Sleeve Logo Jersey, L	Clothing	\$198 754,98	-\$54 986,27	-27,67 %
Short-Sleeve Classic Jersey, XL	Clothing	\$129 145,57	-\$31 489,80	-24,38 %
Long-Sleeve Logo Jersey, M	Clothing	\$115 249,21	-\$24 708,79	-21,44 %
Short-Sleeve Classic Jersey, L	Clothing	\$98 472,72	-\$19 925,19	-20,23 %
Long-Sleeve Logo Jersey, XL	Clothing	\$95 611,20	-\$19 095,86	-19,97 %
Road-650 Red, 44	Bikes	\$943 340,56	-\$153 696,12	-16,29 %
Short-Sleeve Classic Jersey, S	Clothing	\$71 606,07	-\$9 667,77	-13,50 %
AWC Logo Cap	Clothing	\$51 229,45	-\$6 301,79	-12,30 %
Touring-3000 Blue, 50	Bikes	\$348 581,50	-\$39 493,57	-11,33 %
Touring-3000 Yellow, 62	Bikes	\$351 547,71	-\$37 911,70	-10,78 %
Touring-3000 Yellow, 44	Bikes	\$358 121,89	-\$34 567,64	-9,65 %
Total		\$109 846 381,40	\$9 371 903,63	8,53 %



Territoty & Sales Team

AdventureWorks | 2001–2004

2001	2002	2003	2004
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-2,88 %

Offline Margin %

39,81 %

Online Margin %

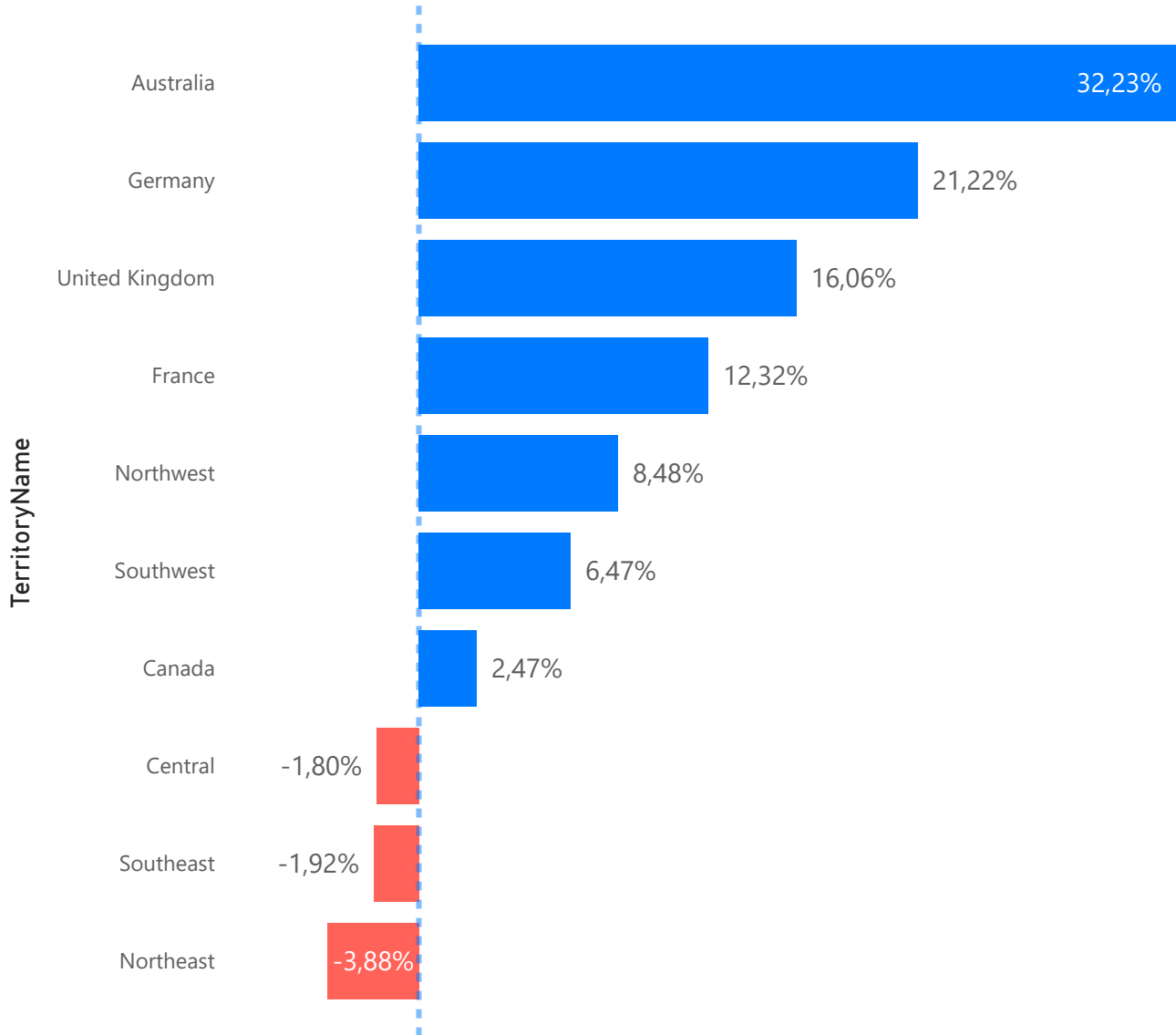
AU	CA	DE	FR	GB	US
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SalesPersonName	Total Revenue	Total Profit	Margin %
Pamela Ansman-Wolfe	\$3 325 102,59	\$35 603,65	1,07 %
David Campbell	\$3 729 945,35	- \$40 680,70	-1,09 %
Jae Pak	\$8 503 338,65	- \$142 034,44	-1,67 %
Linda Mitchell	\$10 367 007,43	- \$197 156,59	-1,90 %
Tsvi Reiter	\$7 171 012,75	- \$147 095,18	-2,05 %
Jillian Carson	\$10 065 803,54	- \$261 893,98	-2,60 %
José Saraiva	\$5 926 418,36	- \$158 767,01	-2,68 %
Michael Blythe	\$9 293 903,00	- \$281 662,35	-3,03 %
Ranjit Varkey Chudukatil	\$4 509 888,93	- \$145 757,02	-3,23 %
Amy Alberts	\$732 759,18	- \$24 279,29	-3,31 %
Garrett Vargas	\$3 609 447,21	- \$144 573,06	-4,01 %
Rachel Valdez	\$1 827 066,71	- \$89 576,17	-4,90 %
Total	\$80 487 704,18	- \$2 316 039,25	-2,88 %

Insights: 3 territories with negative margin: Central, Southeast, Northeast

- ▶ Australia: 32% margin — share best practices
- ▶ Northeast: -3,88% — logistics audit needed
- ▶ Only 1 of 17 sales managers profitable

Margin % by TerritoryName



Customer Segments (RFM)

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31,5K

Orders

\$3,49K

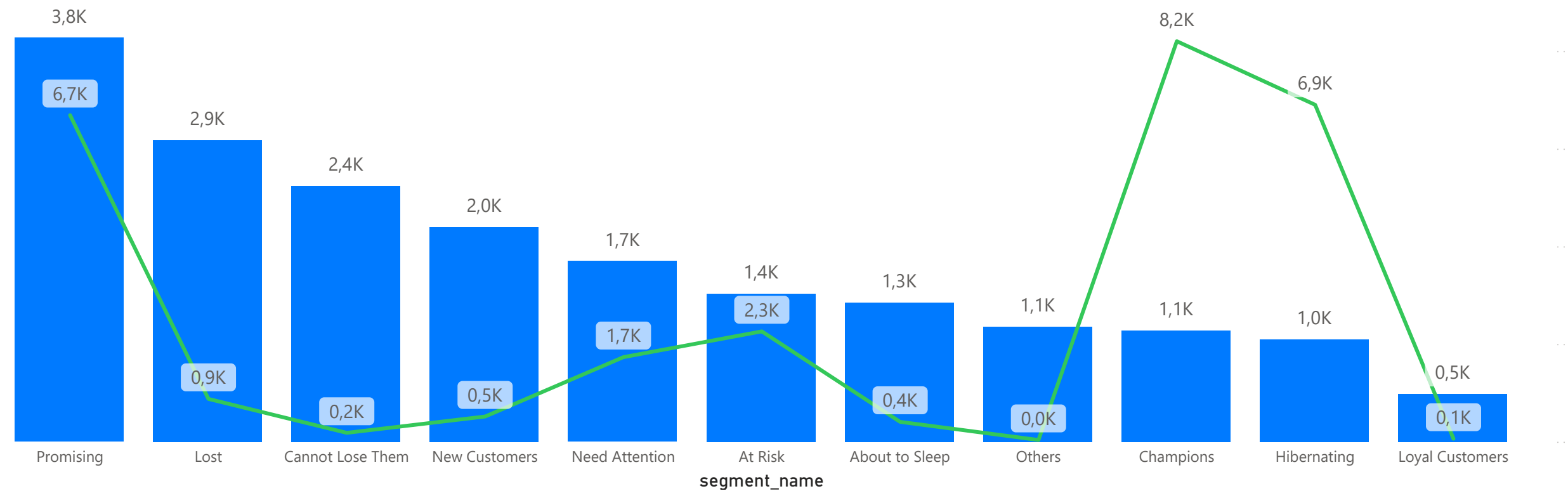
Avg Bill

Insights: 45% customers need attention:
Lost 2,9K | At Risk 1,4K | About to Sleep 1,3K

- ▶ Champions: \$8,2K Avg Bill – VIP
- ▶ Promising: \$6,7K Avg Bill – nurture
- ▶ Cannot Lose Them: \$0,2K – urgent

Customer Count and Avg Bill by segment_name

● Customer Count ● Avg Bill



P&L

AdventureWorks | 2001–2004

-4,00M

Operating Profit

-4,00M

Adjusted Operating...

-4,00M

Adjusted Operating...

Taxes change %

0

10

20

30

40

50

Prices change %

0

1

2

3

4

5

6

7

8

9

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Insights:

Operating loss: \$4M (3.6% of revenue)

Structure:

- COGS: 91.5% of revenue – industry norm, but high
- Taxes: \$10.2M (9.3%) – main driver of loss
- Delivery: \$3.2M (2.9%) – 34% of gross profit

If taxes reduced by 20%: profit +\$2M

If delivery optimized by 30%: profit +\$1M

